

The shift is visible in funding trends. Overall, start-up funding dropped 9.4% to \$11.4 billion in 2025, but the pullback has been uneven. Early-stage funding rose 20% to \$4.3 billion, while late-stage funding, critical for scaling, declined sharply by 24% to \$5.4 billion, according to Tracxn data.

Funding hasn't just declined in value terms. Investors signed fewer cheques as well. The total number of deals fell to 1,826 in 2025, nearly half the 3,616 deals at the peak in 2022. Not only has the overall funding dried up, investors are backing fewer start-ups, too. And more than 35,000 start-ups have shut down over the past three years, including over 11,267 in 2025 alone, implying that these companies can become unsustainable when funding dries.

GoMechanic, once celebrated for rapid expansion, collapsed after admitting to financial misreporting and was forced into a distress sale. BYJU'S, whose valuation peaked at \$22 billion in 2022, has faced mounting pressure over governance, debt, and cash flow.

Together, these cases highlight a broader pattern: abundant capital masked weak financial discipline, allowing valuations to outpace underlying business fundamentals.

40 | CALCULATING RUNWAY

To assess how prepared start-ups are for this funding winter, we analysed India's 100 most-funded start-ups to estimate their cash runway.

The analysis is based on data from Tracxn, with financials sourced from CMIE Prowess using the latest available filings. Companies that are cash-generating, as well as those in the banking, financial services, and insurance space or without FY25 filings, were excluded to ensure comparability.

Cash burn is measured using net cash flow from operating activities, with monthly burn derived by annualising this figure. Runway is calculated by dividing the available cash and liquid balances by the monthly burn.

While this approach provides a view of the liquidity risk, it does not account for future fund-raising, cost rationalisation, or one-off cash movements.

THE DIVIDE

The analysis of the cash runway available to India's most well-funded start-ups reveals a sharply divided list: a small number of start-ups with substantial cash buffers, a sizable middle tier with some cushion but still awaiting further funding, and a group with very little runway remaining.

To put that into context, we have divided the start-ups into three runway buckets: less-than-15-month,

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➔ **THE RUNWAY CALCULATIONS REVEAL THAT SCALE DOES NOT AUTOMATICALLY TRANSLATE INTO FINANCIAL RESILIENCE**

15–36-months, and over-36-months, to assess their ability to survive a funding winter.

The less-than-15-month start-ups are the most vulnerable, while those with 36-plus months have the cushion to adapt. Most importantly, it reveals dependence on external funding. The shorter the runway, the higher the dependency on fresh funds over internal cash generation.

At the most stressed end, the sub-15-month runway category, some high-profile names stand out. Flipkart and BigBasket each have roughly a month's runway based on FY25 data. Although both have strong par-